

19%). If price rises from the plunge low to break above the top of the pattern (upward breakouts), the depth of the plunge didn't matter much (gains of 75% versus 72%). However, downward breakouts tell a different story. Plunges shallower than the median 19% see price retrace 22% on average before heading lower and breaking out downward. Deeper plunges see price rise an average of 62% before heading back down.

[Table 25.11](#) Bounce Trading

Description	Up Breakouts	Down Breakouts
Performance after shallow plunges	72%	22%
Performance after deep plunges	75%	62%
Median plunge	14%	19%
Performance from short boards	66%	30%
Performance from long boards	81%	55%
Median board width	169 days	176 days

What does this mean for trading? If you're trying to catch the bounce, the larger the drop from the board, the larger the bounce. I found this same behavior in an event pattern called the dead-cat bounce.

Board length versus performance. The median length of the board doesn't vary much depending on the breakout direction. However, long diving board patterns (from pattern start to plunge start) seems related to performance. Long patterns outperform short ones substantially as the table shows, for both breakout directions. Please note the difference between board length in this table and the width in [Table 25.5](#). [Table 25.5](#) includes the plunge, but [Table 25.11](#) does not.

Experience

Let me share one diving board trade with you. It's a cautionary tale that things might not work out as you expect or hope. I show the setup in [Figure 25.4](#) on the weekly scale.

Williams Companies Inc. (WMB) started building a diving board in the summer of 2016 (A), and it continued through November 2017.